17. Income Taxes

The provision for income taxes consists of the following:

	For the years ended December 31,		
	2006	2005	2004
Current:			
Federal	$ 54,388	$ 95,641	$51,280
State	10,020	17,961	8,123
	64,408	113,602	59,403
Deferred:			
Federal	(50,274)	4,850	15,332
State	(13,590)	1,022	2,352
	(63,864)	5,872	17,684
Income tax expense	$ 544	$119,474	$77,087

Income taxes payable consists of the following:

	December 31,	
	2006	2005
Current	$ (906)	$21,313
Deferred	1,160	63,289
Income taxes payable	$ 254	$84,602

Deferred tax assets and liabilities consist of the following:

	December 31,	
	2006	2005
Deferred tax liabilities:		
Real estate inventories	$ 1,976	$55,086
Property and equipment	18,897	19,152
Other	(5,629)	(152)
Total deferred tax liabilities	15,244	74,086
Deferred tax assets:		
Intangibles	5,247	6,049
Accruals	8,024	3,932
Other	813	816
Total deferred tax assets	14,084	10,797
Net deferred tax liability	$ 1,160	$63,289

A reconciliation of the statutory rate and the effective tax rate follows:

	December 31,		
	2006	2005	2004
Statutory rate	35.0%	35.0%	35.0%
State income taxes, net of Federal income tax benefit	3.2	3.8	3.7
IPO costs	(24.8)	—	—
Manufacturing deduction, net of other nondeductible items	(7.7)	0.3	0.4
Effective rate	5.7%	39.1%	39.1%

We believe that, based upon our history of profitable operations, it is probable that the deferred tax assets of $14,084 will be realized on future tax returns, primarily from the generation of future taxable income.